of Unincorporated Small Businesses. A grant of Rs 5000 can be paid at the time of registration of every unique small business by its owners. On filing an annual return, an amount of Rs 500 can be paid per business entity. Assuming there are 8 crore unincorporated small businesses in India and all of them register, it would involve a one-time expenditure of Rs 40,000 crore.

The incentive expenditure on filing annual returns would cost the government only about Rs 4000 crore, which is only about 50 per cent of the annual budget of the MSME Ministry. By spending this meagre amount, the government would not only get all the requisite data for policymaking but would be able to get better estimates of the industrial and services profile of the small enterprises, employment of labour and the value addition/contribution to GDP made by them.

Second, we need a workplace equity support programme to assist small businesses and help them hire a place to set up business. In its simplest construct, the programme would provide equity support equivalent to the rental of the working place (subject to a normative limit) to micro-entrepreneurs for the first three to five years after setting up a new business. This programme would encourage the construction of plug-and-play workplaces for small businesses and build an equity base for micro-entrepreneurs. It would obviate the need for small businesses to spend their limited capital in buying a place of work. The remaining allocation of Rs 4000 crore can be kept for this programme.

All other programmes to extend myriad forms of support, such as credit-linked subsidy and technology and marketing support, should simply be closed. The basic assumption that a small business is unviable is wrong; it is only different to a large business. Small businesses should be taken up only when entrepreneurs believe they would be able to earn profits higher than what they would earn as employees. A small business should be able to